LASCLAY

EXPLANATORY MEMO

Financial projections 2026-2029

What the model contains, what it rests on, and what the 2026 restructuring changes about the trajectory.

$1.09M	$2.78M	2027-2028	39,566
REVENUE 2025-2026	NET SALES TARGETED 2028-2029	PROFITABLE EXCLUDING PUBLIC FUNDING	CUSTOMERS SINCE 2020

WHAT THIS DOCUMENT CONTAINS

Two scenarios in the same model, switched by a single cell: realistic conservative at $2.78M of net sales in 2028-2029, ambitious at $3.41M. Neither includes any grant that has not been applied for.

LES PRODUITS LASCLAY INC. · QUÉBEC CITY (LIMOILOU) · 4 AUGUST 2026

Fiscal year running from[1] September to 31 August: “2025-2026” covers September 2025 to August 2026 · 48-month monthly model reconciled to QuickBooks

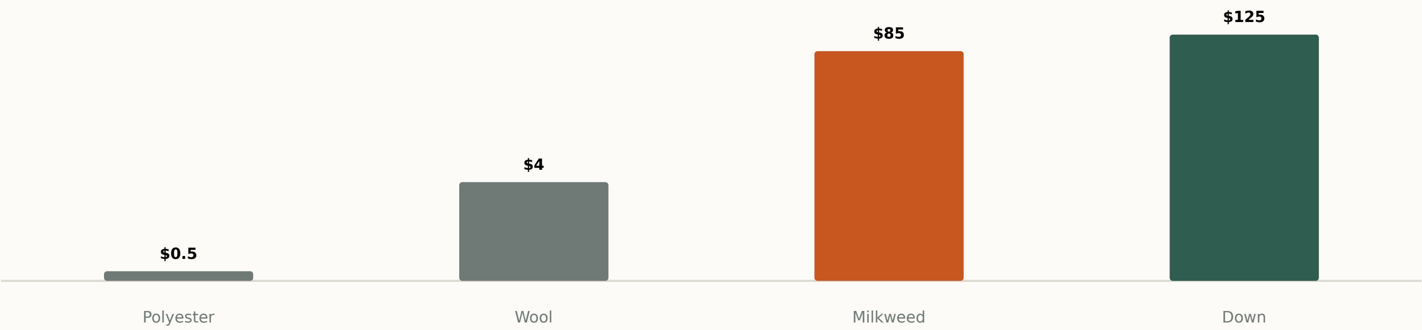
THE MATERIAL

01 Milkweed, and what it is worth

A fibre nobody has managed to commercialise — not for lack of buyers, but for lack of knowing how to harvest it.

The plant

Common milkweed (*Asclepias syriaca*) is a perennial native to North America, long eradicated as a weed and today farmed commercially in Quebec on a scale found nowhere else. Its pods produce a floss whose fibre is hollow and **80% empty** : it traps air, which makes it insulating, light, hydrophobic, antibacterial and rot-proof. The Industrial Research Chair on Innovative Composite Materials at Université de Sherbrooke describes it as **20% warmer than goose down** at equal weight, and Groupe CTT measured that it retains **three times more heat than polyester**.



Indicative price per kilo of the main textile insulators, logarithmic scale. Milkweed sells at the price of down for higher performance, which classes it among luxury materials and closes volume markets to it.

A conservation mechanism that has been measured

Milkweed is the sole host plant of monarch caterpillars, a species listed as endangered in Canada. The Mexican colonies came close to extinction in 2014, then reached **their highest level in twenty years** after more than 1,000 hectares of milkweed were planted in Quebec, Ontario and the United States. The lever is not activism, it is economics: an ecosystem keystone that is only restored if growing it pays.

A resource comparable to no other

Unlike fossil synthetics, it is renewable and growing it stores carbon. Unlike down, wool and fur, it depends on no animal husbandry. Unlike kapok, it is local and grows densely. Unlike PLA, it occupies marginal land without competing with food crops. Unlike cotton, it grows in northern regions with no irrigation, no fertiliser and no insecticide.

> *The demand has always been there. Major players from all over the world have taken an interest in milkweed. Every failure came down to technology gaps on the farming side.*
>
> Ghyslain Bouchard, general manager of Eko-Terre’s milkweed division, forty-five years in textiles, March 2026

THE SUPPLY CHAIN

02 Why everyone failed before

Ten years of attempts, always the same wall. It is neither commercial nor technical on the plant side: it is agricultural.

Demand was never the problem

The Canadian Coast Guard and Canada Post have clothed their staff in milkweed-insulated garments. The Canadian Armed Forces tested it successfully in the Arctic. In 2017, Quartz co. launched the first milkweed-insulated parka at close to $1,000 a unit: an immediate success. Every time the material reaches the market, it finds buyers.

The harvest-window trap

Milkweed is harvested in a window of **barely two weeks**, when the pods are ripe and not yet open. The supply chain was built on the model Quebec farmers know: large acreage, heavy machinery. Yet two weeks are only enough to harvest at most **five hectares** by hand or with small equipment. Beyond that, it would take a harvester that does not exist: two attempts failed between 2011 and 2017, and nobody has tried since, for want of a market large enough to pay for it.

None of the players can break this circle from where they stand: the grower does not create the market, and the plant does not farm.

The rest follows. Growers sow large acreage, cannot harvest it and drop out one by one. Protec-Style went bankrupt in 2017 for lack of supply; Quartz co. discontinued its parka for lack of material. Milkweed stays labelled a luxury material, not because it is scarce, but because its price has to carry the amortisation of those who cannot sell enough of it.

The industrial half of the problem is solved

Eko-Terre, in Cowansville, has worked on it since 2019. Earlier techniques broke the fibre during extraction and reduced it to dust. The key turned out to be **drying the pods before extraction** : lowering the moisture content of the whole pod before separating fibre from seed makes it possible to shell without breaking. That change of order produced the Vegeto membrane, a biodegradable insulator free of petroleum plastic, made at 200,000 metres a year.

> *I lost every one of my milkweed growers. A new grower starting today has access to no harvesting, drying or extraction technology: they have to learn it all alone, at their own expense, for years.*
>
> Ghyslain Bouchard, Eko-Terre, March 2026

That is the state of the chain: a plant that knows how to process the fibre and lacks material, available land whose owners do not know how to go about it, and nobody in between.

WHAT SETS LASCLAY APART

03 Why us, and why it continues

Everyone who failed was excellent at one link. An agronomist, a plant, a coat brand. None held both ends of the chain at once, and it is between the links that this chain breaks.

Working across disciplines

Lasclay goes from pod to delivered parcel. The company buys raw floss from growers it knows by first name, makes the insulation, designs the products, runs the brand, sells online and answers customer service. Nobody else in this chain covers that span, and that is what makes it possible to act at the intersections rather than wait for the neighbouring link to unblock.

> *Gabriel and his team have built a company that masters almost the entire chain, from raw milkweed floss through to distributing finished products to individuals. They understand the constraints of the fibre better than anyone. That is the missing piece of this industry's puzzle.*
>
> Ghyslain Bouchard, Eko-Terre, letter of support, March 2026

A modern read on the market

Earlier ventures aimed at institutional tenders and the high-end coat: markets won on lowest price or sold at a thousand dollars a unit, and which leave the material invisible. Lasclay did the opposite. A consumer brand, direct sales, a community of 80,459 people including 39,566 customers, and an affordable entry product that introduces the fibre before selling the coat.

Capabilities the chain was missing

Marketing, business development, product development: three disciplines none of the earlier players had in house. Seventy-six products in the catalogue, a range built from the eight-dollar seed packet up to the coat, and three pre-sales that validated demand before committing production.

What that changes for the material

An industrial processor buys fibre at the price its end customer will pay, and that customer is a lowest-bidder tender. A consumer brand buys at the price its customers will pay, and those customers buy precisely because it is milkweed grown in Quebec. Lasclay can therefore sustain a price the industry cannot, and buy directly from growers rather than at the end of a chain of intermediaries.

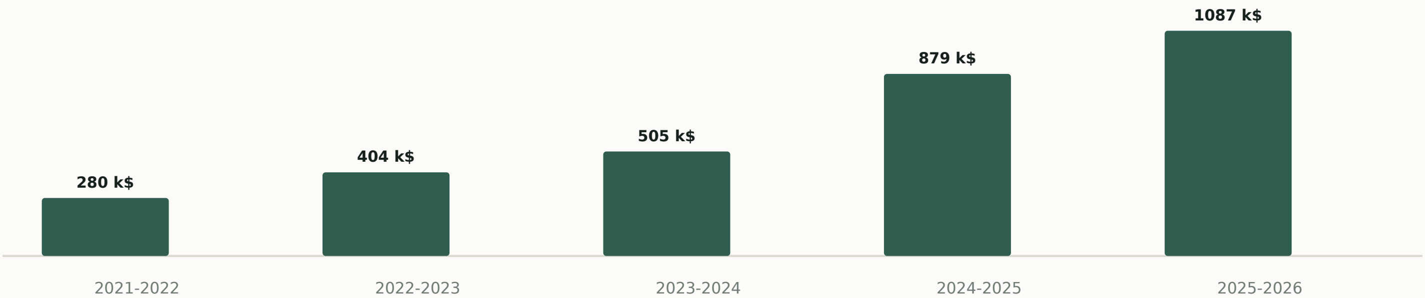
It is also what makes what follows credible. The four technical constraints described further on lift because there is at last, in this chain, a company that has the knowledge of the fibre, the market that pays for it and the commercial skills to grow it.

CONTEXT

04 What six years of sales say

In 2020 a post went viral. 10,000 newsletter sign-ups in two weeks, 1,000 pairs of mittens sold before there was a plant. Six years later, 39,566 customers and $3M cumulative. It is four technical constraints, not the market, that limited what followed.

Six fiscal years, gross margin up from 44.3% to 73.0%, and profitability reached in 2024-2025. The curve below is that of a company that learned to manufacture and to sell. What it has not yet been able to do is produce at a cost that opens volume markets.



Revenue by fiscal year, after discounts and including shipping revenue — the “revenue” line of an income statement. 2021-2022 from internal records; 2022-2023 to 2024-2025 from the compiled financial statements; 2025-2026 from QuickBooks for eleven months, August 2026 forecast. Gross margin: 44.3% · 65.5% · 73.0% over three years.

Four constraints prevented that demand from being served

They are technical and documented. Each has its own section in this memo, with the figures that measure it and what lifts it.

1. **The fibre costs $85 a kilo**, against $4 for wool. That price comes not from scarcity but from a two-week harvest window no large operation can hold. A network of small plots can. **Sixty-three land offers** are already on the table. *Section 07.*
2. **The insulation is made by craft methods.** The process, invented in house, took seven to eight people in high season and fits no textile plant anywhere. In roll form, covering a full year’s needs took two employees for two weeks. *Section 08.*
3. **Marketing and market development stayed under-invested.** Customer acquisition cost went from $20.11 to $31.88 in a year. Stepping out of manufacturing frees the time and the margin that were missing. *Section 09.*
4. **Fixed costs rose in step with sales.** Plant, rent, production labour and software subscriptions. The lighter structure frees $123,868 as early as 2026-2027. *Section 10.*

39,566	$1.09M	$4,500	2027-2028
CUSTOMERS	REVENUE 2025-2026	INSULATION, ONE FULL YEAR	PROFITABLE EXCLUDING AID
$3M cumulative since 2020	+23.7% on 2024-2025	against $91,336 in 2025-2026	and coverage above 1.25

MARKET PROOF

05 Demand, tested three times

Three separate tests, six years apart, measured the market's appetite for milkweed. All three answered the same way.

2020, the start

A post goes viral before a product exists. **10,000 sign-ups** to the newsletter in two weeks. 1,000 pairs of mittens sold in pre-sale. The company had no plant, no inventory and no process.

Nov. and Dec. 2025, the peak

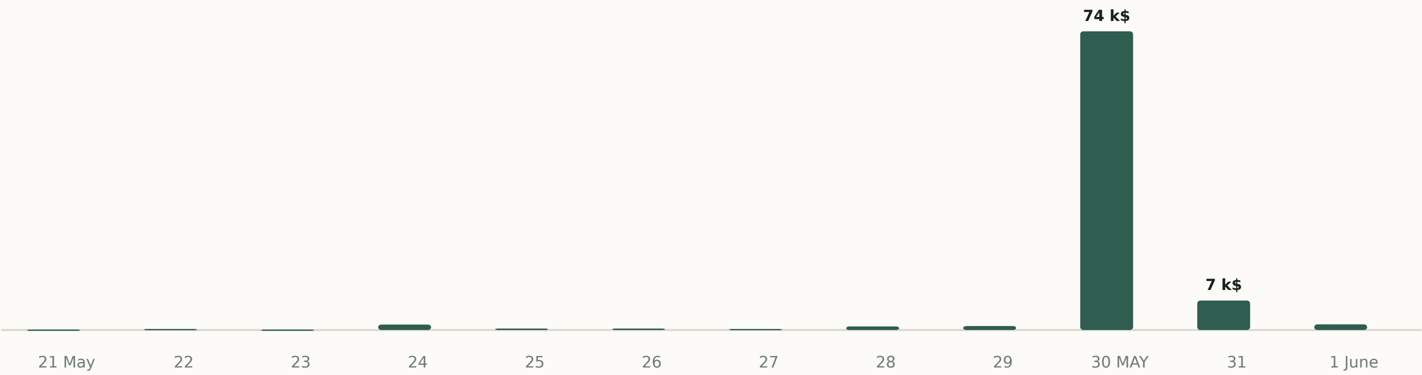
More than $500,000 in two months, the equivalent of a full fiscal year two years earlier. +73% and +135% over the prior year. December alone did $275,271.

May 2026, the trial by fire

A forty-minute video announces the end of "made here". The pre-sale follows three days later: **$82,692, 508 orders, 85.2% existing customers**.

The trial by fire, in detail

A brand built on local manufacturing announces it is moving assembly offshore. The decision was not buried in a press release: it was announced in a forty-minute video where the founder opens the books, lays out the operational and financial reasoning, names what the choice costs symbolically, and tells customers they are free to leave.



Daily gross sales, Shopify. 30 May is the pre-sale launch day, three days after the video went out.

$82,692 30 MAY TO 1[1] JUNE 508 orders in three days	85.2% EXISTING CUSTOMERS 425 of 499 buyers	$126.52 AVERAGE ORDER VALUE against $79.92 on average	× 75 AGAINST THE DAY BEFORE $73,993 on the 30th, $985 on the 29th

The risk of losing the customer base is ruled out by the facts. These were not new customers drawn by a promotion: 85.2% of buyers were already customers, and they spent 58% more per order than the annual average. Transparency was treated as a reason to buy, not as grounds to leave.

CASH

06 June and July 2026: the summer we chose not to run

The summer's activity was not endured, it was stopped. Serving the warm season meant producing in Quebec, and Quebec had already shown it did not pay.

What a summer of Quebec production cost

	JUNE 2025	JULY 2025	BOTH MONTHS
Net sales	$62,025	$36,387	$98,412
Contribution margin	$18,789 (30%)	$21,123 (58%)	$39,912
of which production labour	$14,127	$11,785	$25,912
General expenses	$24,056	$19,232	$43,288
What is left, before selling, marketing, administration and financing	**-$5,267**	**$1,891**	**-$3,376**

November and December of the same year deliver 80% and 72% contribution margin. The summer delivers 30% and 58%, and that is where production labour peaks for the year. Source: QuickBooks.

The decision, and what it leaves in the books

Rather than run that summer again, the company stopped Quebec production, laid off the production staff and moved assembly offshore — building the lead time needed so that the winter season, at least, is served at full margin.

MAY TO JULY	2025	2026	
Production labour	$35,675	$4,328	-88%
Assembly subcontracting	$17,980	$5,682	-68%
Digital advertising	$79,599	$9,172	-88%
Raw material purchases	**$35,550**	**$52,719**	**+48%**

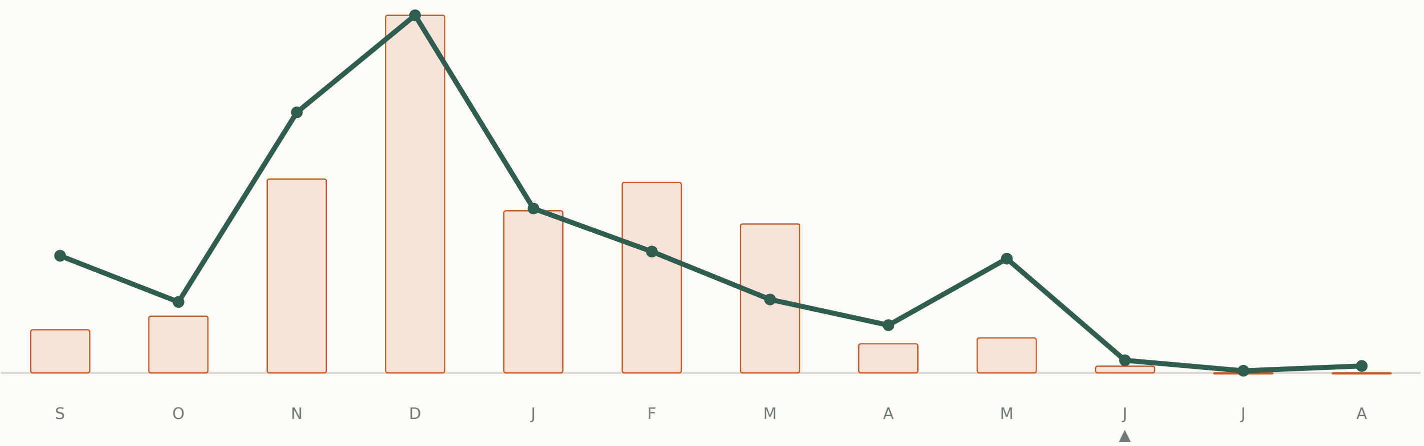
A company short of cash cuts its purchases. These rise 48% while production labour falls 88%: that is the signature of inventory built ahead, for assembly done elsewhere.

Advertising follows production, not the other way round. You do not buy demand you could only serve at a loss. The budget falls from April, when the decision is taken, and reaches zero in July. Sales follow three weeks behind — and that, for what comes next, is the good news: the engine responds.

CASH

06 What the pivot leaves to finance

Cutting activity frees time, not cash. The winter inventory is bought while the summer's sales are deliberately absent.



Fiscal year 2025-2026, September 2025 to August 2026. Bars: actual digital advertising (QuickBooks). Line: monthly net sales. The same months of the previous year produced 1,272 and 672 orders: neither the season nor the demand is missing.

	MARCH	APRIL	MAY	JUNE	JULY
Digital advertising	$32,756	$6,388	$7,688	$1,484	$0
Shopify orders	1,276	764	968	71	40
Same months, 2024-2025	1,450	2,193	2,314	1,272	672
Net sales	**$53,210**	**$34,531**	**$82,783**	**$9,054**	**$1,491**

Conversion rate: 3.58% in May, 0.58% in June. Sessions: 25,333 then 10,392. Sources: QuickBooks and Shopify.

Merchant capital, and why it had to go

Shopify Capital	$185,169
Merchant Growth	$119,702
Total at 31 August 2026	**$304,871**

Shopify Capital takes **28.75% of every dollar sold**, every day. The more the company sells, the less is left to buy the next batch of stock. A procyclical mechanism that punishes growth: it is the second reason for the pivot.

What was left at 31 July

Cash on hand	-$830
EDC line authorised	$150,000
Drawn at 31 July	$143,026
Remaining cushion	**$6,974**

The line was drawn $59,475 deeper in July: the winter inventory is bought now, the season that pays for it starts in September.

The sales not made — **$105,748** in June and July 2025 against **$13,336** in the same months of 2026 — are the price of the pivot, not a loss suffered. They would have been produced in Quebec, at the cost shown in the table on the previous page. What remains to be financed is the gap: the stock goes out before the season comes in.

SUPPLY

07 The cost of the fibre, and the network that will bring it down

The fibre costs $85 a kilo because somebody has to amortise twenty hectares over a volume nobody buys. Lasclay does not need twenty hectares, and land lent to it costs nothing to amortise.

What the $85 price really pays for

That price is not the cost of growing milkweed. It is the price a twenty-hectare grower has to ask in order to amortise land, machinery and years of learning over a volume nobody buys in quantity. The less they sell, the dearer the kilo has to be. It is an amortisation price, not a production price, and it rises as the chain shrinks.

Lasclay does not need twenty hectares. It needs modest volumes, and it can get them from land that costs it nothing.

> A third of respondents offer their land **without asking to be paid for the land itself**. Fallow fields, riparian strips, plots too wet for hay, woodlots: nothing to amortise, the land is already there and was serving no purpose. The cost of the fibre becomes what it should be — planting, harvesting and processing it. Paying the harvester well and carrying the amortisation of twenty hectares are two different things: Lasclay can do the first because it does not carry the second.

The two-week window stops being a problem at the same stroke: nobody is trying to harvest twenty hectares. Fifty owners each doing half a hectare, in parallel, deliver the same volume without any of them needing a harvester.

This model calls for exactly what the chain was missing: recruitment, coaching, small-scale tooling and a guaranteed buyer. Those are commercial and agronomic skills, not industrial ones. **Eko-Terre has committed to helping Lasclay adapt its drying and extraction equipment to that scale**, which it has neither the resources nor the mandate to do alone.

The supply already exists, and it is documented

A call for applications launched in spring 2026 gathered **63 land offers** within weeks, with no advertising budget, from across Quebec. Half the respondents have more than one hectare.

WHAT THE 63 RESPONDENTS OFFER	RESPONSES	SHARE
Lend land and be paid for the harvests	27	42.9%
Make land available, with no payment for the land	**22**	**34.9%**
Plant, operate and sell the harvest themselves	14	22.2%
Take part in R&D and equipment development	11	17.5%

Multiple choices allowed per respondent. Three quarters (74.6%) say they are ready to grow common milkweed, the higher-yielding species, some of them with coaching to manage its spread. Eleven people offer to take part in equipment development: that is exactly the work to be done.

These applications are not vague intentions: smallholdings, woodlots, maple stands, cohousing groups and individuals, with stated acreages and precise questions about workload. The farming supply exists; what it lacks is a framework and a stable outlet. Funding for that development is the subject of an application to the Fonds Vision Topping and a Défi-Québec file, and **is not in the projections in this document**.

PRODUCTION

08 From craft production to roll insulation

This is the central lock, and the one whose lifting is measured most brutally.

Since 2021, Lasclay has made its own insulation with a process invented from scratch: a blending machine built to measure because the fibre is too light for standard equipment, a filling machine five to six times faster than hand work, and domestic quilting machines modified mechanically and in software to accept milkweed. Quilting a pair went from 55 minutes to a few minutes. More than forty products have come off that line.

It was the right call: the processing plant that existed in Quebec had closed in 2015, leaving growers without an outlet, and nobody knew how to work the fibre. But the process remains craft work in essence. It takes seven to eight people in high season, it does not scale, and above all **it does not travel** : no foreign textile plant can take it on.

The calculation that decides everything

Left: actual in-house production labour cost in 2025-2026 (QuickBooks, “MOD-Production” line). Right: two employees for two weeks at $30/h, what it took to produce the insulation covering the needs of fiscal 2026-2027.

−94.7%	7–8 → 2	$13,000	$4,000
PRODUCTION LABOUR	PEOPLE IN PRODUCTION	BI-WEEKLY PAYROLL	COST PER FOREIGN WORKER
$91,336 → $4,500	six months → two weeks	brought down to $4,000	per year, against $4,000 / 3 years

What the roll unlocks, beyond cost

- **Moving finishing to Tunisia.** Roll insulation handles like any textile: it ships, it cuts, it assembles in a workshop that has never seen milkweed. That is what makes the manufacturing pivot possible
- **Access to plants worldwide.** A standardised format, of the same kind as Thinsulate, fits any textile line, and therefore fits manufacturing and distribution partnerships out of reach today
- **Institutional and defence markets.** The Canadian Armed Forces tested milkweed successfully in the Arctic. These markets require a standardised material, not an in-house process
- **The end of dependence on one person.** The craft process rests on a long learning curve and on the founder being constantly on hand to repair the machines

What stays in Quebec, without exception

Growing and processing the milkweed, product design, quality control, milkweed-oil cosmetics and bulky products (pillows, cushions). That is the strategic core and the source of the advantage: a local fibre nobody else masters at this scale. What leaves is textile assembly, a skill Quebec lost thirty years ago.

GO TO MARKET

09 Marketing and market development

This is the lock least visible on a balance sheet, and probably the costliest: what the company could not do while it was running a plant.

> *I talk about milkweed twenty-five times a day. Most of my employees have never seen any. That is the paradox.*
>
> GABRIEL GOUVEIA, FOUNDER

A typical day is spent switching context: two hours repairing a machine, an hour on the finances, an hour writing an ad. A broken machine has cost a full week before now. That scatter appears nowhere in the financial statements, but it explains why three high-return areas stayed under-invested.

The three areas of strength to reinvest in

Markets and segments

Business development, the retail channel, international, institutional. The Canadian retail channel, set out further on, is the first of these and requires no manufacturing capacity at all.

Products

Not one failed launch in six years: the company knows which product to make. What is missing is the time to make them more advanced and better performing. Milkweed-oil cosmetics and insulated gloves are the next two.

Awareness of the fibre

Lasclay is very nearly alone in making milkweed known. Content is still produced in the evening, by the founder. A real professional content budget is a direct lever on acquisition cost.

What that is worth in figures

Customer acquisition cost went from $20.11 in 2024-2025 to **$31.88 in 2025-2026**, a 59% rise in a year, while average order value rose 28%. Contribution margin per order still covers acquisition cost on the first order, but the trend signals that marketing lacked attention, not budget.

ACQUISITION	2024-2025	2025-2026	CHANGE
New customers acquired	11,509	8,443	−26.6%
Digital advertising	$231,500	$269,178	+16.3%
Cost per customer acquired	**$20.11**	**$31.88**	**+58.5%**
Average order value	$56.47	$79.92	+41.5%
Estimated lifetime value	$48.76	$64.62	+32.5%
Lifetime value / acquisition cost	2.42	2.03	−16.1%

Computed on actuals: customers and orders from Shopify, advertising from QuickBooks. Lifetime value is estimated by geometric series on the annual repurchase rate, for want of two years of cohort history.

Advertising is 27% of net sales in 2025-2026. It is not what drives the loss, since it pays for itself on the first order, but its return degrades when nobody has time to optimise it. The retail channel, which consumes no advertising, structurally reduces that dependence.

COST STRUCTURE

10 Fixed costs and digital infrastructure

A model where expenses rise in step with sales never becomes profitable, whatever the growth. That is exactly what happened.

> *We went from $500,000 to $879,000 in sales. For $22,000 more profit.*

The fixed structure, before and after

ITEM	2025-2026 ACTUAL	AFTER THE PIVOT	FREED
Production labour	$91,336	$4,500	$86,836
Workshop rent	$99,067	$62,035	$37,032
Depreciation, equipment and leasehold improvements	$22,166	declining	n. d.
Fixed structure freed from 2026-2027			**$123,868**

These are the model’s figures, not a potential. Rent falls further afterwards — $57,842 in 2027-2028, $52,410 in 2028-2029 — without the model going as far as the $30,000 that subletting the surplus space would make possible. The conservatism is deliberate.

Digital infrastructure: the next project

Part of the software stack can be replaced by in-house tools, and the company has already shown it knows how.

ITEM, 2025-2026 ACTUAL	AMOUNT	STATUS
Shopify platform fees	$30,540	Structural
Marketing software licences (email, SMS)	$8,616	Migration in preparation
Management and HR tools	$6,035	Candidate for replacement
E-commerce tools	$5,228	Candidate for replacement
Operating software subscriptions and website	$1,710	Structural
Total digital stack	**$52,129**	

What is already built

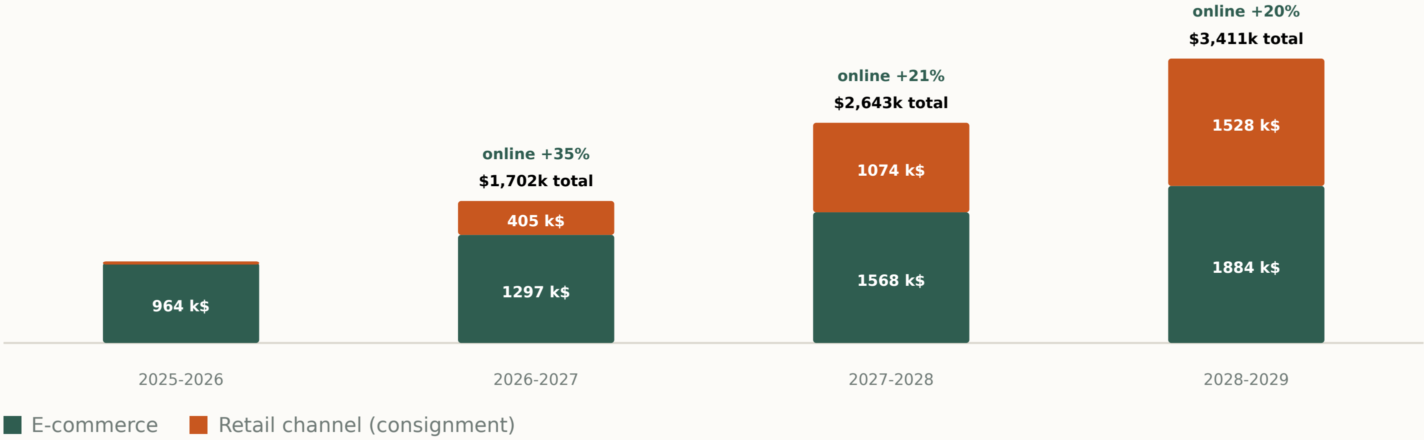
- **Automated customer service.** An AI response system works the shared inbox three times a day, in the brand’s voice. In place since 2024, it has tripled customer-service throughput with an accuracy rate above 90%. **No customer-service hire is planned**
- **In-house API gateways.** In-house services already relay operations to ShipStation, the email platform and QuickBooks. A full export of email profiles is ready, which makes migrating off the current platform executable
- **Internal knowledge AI.** A conversational assistant embedding the company’s knowledge and processes, built in 2024, supports employees in their work
- **Machine vision to come.** The next deployment targets manufacturing: making a volatile fibre uniform, which is practically impossible by hand at scale. It is the technical heart of the 60% membrane project

These savings are **not** included in the projections.

WHERE THE GROWTH COMES FROM

11 Two engines, and the larger one already exists

The retail channel is the newcomer, so it draws attention, and it does bring the larger share of the growth. Even so, e-commerce, which carried the first six years on its own, still provides 41% of it and remains by far the largest share of revenue in 2028-2029.



Ambitious scenario, net sales by engine. E-commerce goes from $963,538 to $1,883,911, a 96% increase, while the retail channel is built from zero.

GROWTH 2025-2026 TO 2028-2029	CONSERVATIVE	AMBITIOUS
Contributed by e-commerce	$749,234	$920,374
Contributed by the retail channel	$1,063,935	$1,527,503
Share of growth from e-commerce	**41%**	**38%**
Annual e-commerce growth	21.1%	25.0%

For comparison, revenue grew 40.4% a year between 2021-2022 and 2025-2026, entirely online, with no retail channel, no roll insulation and no cleaned-up cost structure. Both scenarios therefore project an online pace well below what the company has already sustained.

What grows e-commerce

A customer base that buys again

39,566 customers since 2020, of whom 6,676 have ordered at least twice. In the June 2026 pre-sale, 425 of the 499 identified buyers were already customers, with an order value of $126.52 against $79.92 on annual average. Selling to that base carries no acquisition cost.

Acquisition that becomes affordable again

The June and July 2026 drop comes from advertising being switched off, not from a fall in demand. Cost per acquisition returns to $20.11 in the model, against $31.88 in 2025-2026, because the repaired unit margin allows acquisition to be paid for without draining cash.

The US market, already started

About 20% of recent revenue, driven by horticulture: some $250,000 of seeds sold in 2025. An $8 seed packet sells more easily than a $100 product, and a notable share of those customers then moves to the textile range.

Products the workshop could not make

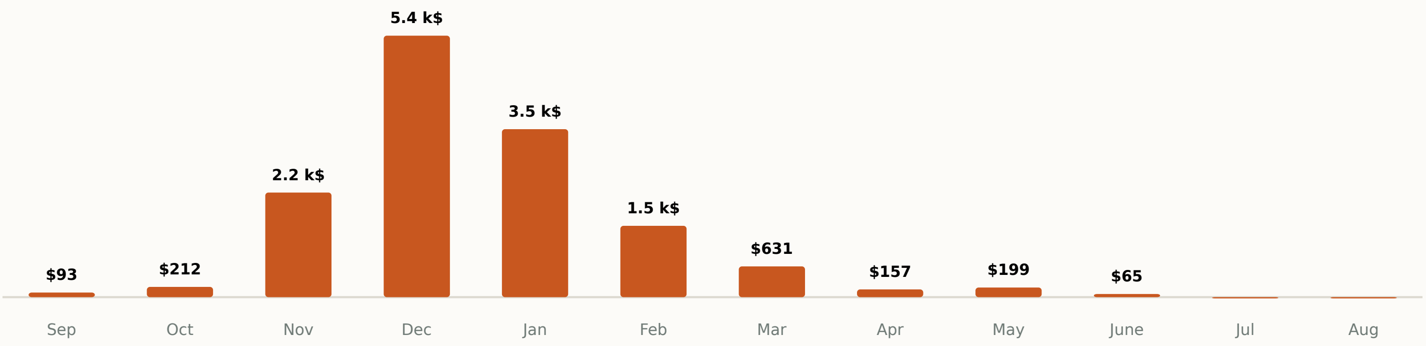
Roll insulation and finishing in Tunisia open ranges that craft production ruled out, at e-commerce volumes and prices. The catalogue stops being bounded by what two people in a workshop can make.

12 Retail across Canada, built city by city

This channel is not a projection out of thin air. One retailer has been selling Lasclay products on consignment in Montreal since September 2025, and its monthly reports show what a point of sale actually returns.

What one point of sale does, measured

Les Défricheuses is Lasclay's exclusive retailer in Montreal. Ten consignment reports, September 2025 to June 2026: **$13,801 collected by Lasclay**, or $23,002 at the price paid by the consumer. The 60/40 split in the model is the one in that contract, not an assumption.



Les Défricheuses, Montreal, 2025-2026. Revenue collected by Lasclay, by month. The range went from 18 to 40 lines between September and November, and the shelf was not restocked after February: the spring drop is a stock-out, not a dead season.

A channel that barely needs managing

Consignment has no purchase order, no invoice, no customer account and no collections. The retailer sells, Lasclay restocks. What is left to do comes down to two things: pacing restocks, and shipping weekly the orders to be collected at points of sale that double as pickup points. The model therefore carries no coordination resource in 2026-2027, half a one in 2027-2028 and a single one in 2028-2029, for a network approaching a hundred.

From one point of sale to a hundred and one

The universe is named, not estimated: the twenty largest cities in Quebec and the twenty-five largest in Canada, forty distinct cities in all. A city carries several when its population allows, at one point of sale per 160,000 inhabitants and a maximum of ten. Toronto carries ten, Montreal ten, Granby one: **109 possible points of sale**, each tied to a named city. A city's second point of sale is not worth as much as the first, which took the best location, so each subsequent rank is discounted 20%.

Each city gets an **affinity index** drawn from online sales per capita, relative to Montreal. Where the brand already carries weight, a point of sale carries more. Outside Quebec, online sales are 8% of the Canadian total for 77% of the population: there they measure the absence of marketing, not the absence of potential, so the index is taken on market size instead, discounted 40%.

> **An effect the model does not count**
>
> A retailer holding the goods can also serve as a pickup point for online orders. The weekly grouped shipment to the store then replaces that many individual home deliveries. Net shipping cost $65,212 in 2025-2026, or 6.6% of net sales; no saving on that side is in the projections.

THE RETAIL CHANNEL

13 The forty cities, and the schedule

That leaves deciding what a major point of sale is worth relative to the Montreal store. The model sets it at 3 times, in both scenarios. It is the channel's only judgement call, and three facts from the consignment reports support it.

- The range went from **18 to 40 product lines** between September and November 2025: the first two months sold only $305 between them
- The shelf was not restocked after February: from March to June almost every line is at zero, for **$1,052 over four months** against $10,979 from November to January
- This point of sale has no display unit, no coordination and no seasonal push

CITY	POPULATION	ONLINE SALES 2025-2026	INDEX	POSSIBLE POINTS	REVENUE OF THE 1[1] ST POINT	CITY POTENTIAL
Québec City	549,459	$78,276	1.47	3	$60,698	$148,103
Trois-Rivières	139,163	$14,883	1.27	1	$52,591	$52,591
Granby	69,025	$7,375	1.27	1	$52,566	$52,566
Sherbrooke	172,950	$17,543	1.24	1	$51,221	$51,221
Lévis	149,683	$14,602	1.21	1	$50,231	$50,231
Saint-Hyacinthe	57,239	$5,377	1.19	1	$49,291	$49,291
Gatineau	291,041	$24,290	1.12	2	$46,459	$83,627
Saguenay	144,723	$10,597	1.05	1	$43,515	$43,515
Blainville	59,819	$4,298	1.04	1	$43,110	$43,110
The next 31 cities				**97**	**$568,201**	**$1,129,239**
Channel ceiling				**109**		**$1,703,504**

Revenue collected by Lasclay, at full maturity. The "Détail par ville" sheet in the model carries the forty cities and the register of 109 points of sale in their opening order. Both scenarios share that register: they differ in the speed and depth of the rollout, not in the assumed size of the stores.

ROLLOUT	2025-2026	2026-2027	2027-2028	2028-2029
Points of sale at 31 August — conservative	1	6	19	43
Revenue collected — conservative	$13,801	$175,058	$573,932	$1,063,935
Points of sale at 31 August — ambitious	1	17	53	101
Revenue collected — ambitious	**$13,801**	**$405,383**	**$1,074,323**	**$1,527,503**
Inventory tied up on consignment — conservative	$0	$27,217	$80,963	$174,367

A point opened mid-year delivers only half its year. The channel's cost of goods rises from 33% to 55% of revenue collected, because the product costs the same to make while Lasclay collects only 60% of the price. Add 6% shipping, 7% sales commission, $800 of display unit per point of sale, and coordination. The smallest point of sale in the ambitious network collects $4,422 a year.

MARKETS

14 Three markets that are not in the numbers

The retail channel is the only new market in the budget. The three that follow are negotiated on cycles too long to enter a three-year plan, and bring no revenue to the tables below.

1. The US market, already started

The United States is about 20% of recent revenue, driven by horticulture: some $250,000 of seeds sold in 2025, out of 10 million distributed across North America. An $8 seed packet sells more easily than a $100 textile product, and a notable share of those customers then moves to the textile range. That market is already in the e-commerce figures; what is not in them is the US retail channel, which follows the same logic as the Canadian one with forty times more cities.

2. International, through the membrane

A standardised roll insulation fits any textile plant in the world. The company has held talks with major international brands interested in milkweed: without a standardised format, those conversations cannot conclude. Europe and Asia are driven by increasingly restrictive environmental regulation and rising demand for bio-based materials.

3. Institutional and defence

Eko-Terre’s membrane is already in Canadian Coast Guard and Canada Post uniforms. The Canadian Armed Forces tested milkweed successfully in the Arctic. These markets are substantial and out of reach for Lasclay alone today. Industrial partnership is the way in.

What the forty-city ceiling means

Bounding the universe to forty cities makes the channel verifiable, and also makes it limiting. Canada has some thirty other municipalities above one hundred thousand inhabitants, absent from the model. The United States is not in it at all. The ceiling of $1,703,504, that is 109 points of sale at full maturity, is the ceiling of the forty cities retained, not of the market.

If the calibration is wrong

Everything else in the channel comes from observed data. The calibration is a judgement: how many times Les Défricheuses a major point of sale is worth. Here is what the plan becomes when it is moved, with the conservative rollout unchanged.

CALIBRATION	REVENUE OF THE 1[1] THE MONTREAL POINT OF SALE	RETAIL CHANNEL 2028-2029	NET SALES 2028-2029	RESULT EXCLUDING AID 2028-2029
2 x	$27,603	$709,290	$2,443,340	$300,571
3 x	**$41,404**	**$1,063,935**	**$2,776,706**	**$448,642**
4 x	$55,205	$1,418,579	$3,110,072	$596,407
5 x	$69,006	$1,773,224	$3,443,439	$744,171

Highlighted row: the value used in the conservative scenario. Even at twice Les Défricheuses, that is $27,603 per point of sale per year, the plan stays profitable excluding public funding in 2028-2029.

15 The projections: two scenarios

A 48-month monthly model reconciled to QuickBooks account by account, of which eleven months of 2025-2026 are actuals. A single cell switches from one scenario to the other.

REALISTIC CONSERVATIVE	2025-2026	2026-2027	2027-2028	2028-2029
Net sales	$977,339	$1,432,980	$2,045,096	$2,776,706
of which e-commerce	$963,538	$1,257,922	$1,471,164	$1,712,772
of which retail channel	$13,801	$175,058	$573,932	$1,063,935
Contribution margin	$560,471	$1,001,428	$1,366,381	$1,855,493
EBITDA	$29,134	$277,516	$345,948	$635,474
Pre-tax result	**-$56,511**	**$158,503**	**$279,868**	**$579,929**
Pre-tax result, excluding public funding	-$196,511	-$38,311	$149,674	$448,642
Debt service coverage	0.41	0.98	2.42	5.03
Equity at 31 August	-$167,801	-$18,199	$227,526	$725,274

AMBITIOUS	2025-2026	2026-2027	2027-2028	2028-2029
Net sales	$977,339	$1,702,236	$2,642,559	$3,411,414
of which e-commerce	$963,538	$1,296,853	$1,568,236	$1,883,911
of which retail channel	$13,801	$405,383	$1,074,323	$1,527,503
Points of sale at 31 August	1	17	53	101
Pre-tax result	**-$56,511**	**$263,909**	**$522,414**	**$840,617**
Pre-tax result, excluding public funding	-$196,511	$67,095	$392,220	$709,330
Debt service coverage	0.41	1.35	4.14	7.10

Neither scenario includes NRC-IRAP or the Vision Topping grant, neither of which is secured, nor the digital infrastructure savings.

Three observations

- The result excluding public funding turns **positive as early as 2027-2028** in the conservative scenario, and as early as 2026-2027 in the ambitious one
- Debt service coverage clears the 1.25 bank threshold **in 2027-2028**, and equity turns positive the same year
- 2026-2027 remains the tight year, at 0.98 coverage and −$38,311 excluding aid. **That is the year that needs the financing**

Both engines advance in both readings. Even in the conservative scenario, e-commerce brings 41% of the period’s growth and the retail channel the rest.

FINANCING

16 Financing structure and risk factors

Most of the request replaces expensive debt with ordinary debt. It is not additional leverage.

INSTRUMENT	AMOUNT	PURPOSE
Term loan (working capital and refinancing)	$460,000	Pay off Shopify Capital ($185,169) and Merchant Growth ($119,702), finance inventory
Seasonal operating line of credit	$143,026	Cover the autumn trough: inventory is bought before it is sold
Shareholder advance (15 August 2026)	$90,000	Repayable over 12 months at 8%, subordination to be negotiated
Net new money, excluding refinancing	**$298,156**	**The rest replaces existing debt**

Shopify Capital is not repaid by monthly instalment but by taking 28.75% of every sale, at the very moment the company should be building autumn cash. Replacing that $304,871 with an amortising term loan turns a procyclical levy into a predictable monthly payment.

Risk factors

Execution of the retail rollout

38% of 2028-2029 sales rest on a channel that has **a single point of sale today**. That is the plan's main risk. Lasclay undertakes to report quarterly the number of signed letters of intent and completed openings, city by city.

Dependence on external assembly

Moving to Tunisia creates a logistics dependency and exposure to currency and lead times. The critical insulation and know-how stay in Quebec, which limits the exposure.

2026-2027 below the bank threshold

Coverage of 0.98 and a negative result excluding aid. A 12-month principal moratorium, standard BDC practice, would shift the pressure by one year.

Negative equity at the outset

−$167,801 at 31 August 2026. The structure needs a share of patient capital (subordinated Prêt d'Honneur, non-repayable IRAP) and not only amortising debt.

What the model does not assume

- No grant that has not been applied for: IRAP ($75,000) and the Vision Topping award are excluded. Presenting the NRC with projections that assume its own funding would be circular. The support that does appear in the result — SR&ED, Visa Design credits, La Ruche, Ville de Québec — is listed in *section 17*
- No digital infrastructure saving, although $52,129 is on the table
- No dividend during the term of the loans
- No improvement in advertising return: advertising stays at 22%, 20.5% then 19.5% of e-commerce gross revenue
- No stock returns on the retail channel. That assumption is favourable: a 5% return rate would cost about $12,000 in 2028-2029

METHOD

17 Method and sources

A projection is only worth the rigour with which it is tracked.

Accounting anchor

The model is a 48-month monthly workbook, September 2025 to August 2029. Every QuickBooks general ledger account is matched to a model line by its account number. **Eleven months of 2025-2026 are actuals**, balance sheet and income statement alike, pasted directly from QuickBooks: September 2025 to July 2026. Only August 2026 remains forecast. An actual month and a forecast month are told apart not by a label but by the shape of their formulas: an actual month reads QuickBooks account by account, a forecast month applies the model's engines. July's pre-tax result lands on QuickBooks' to the cent.

What the July and August 2026 revision corrected

- The 76 products were recalibrated on **units actually sold** in Shopify. The modelled 2025-2026 total reconciles to QuickBooks revenue within $3,826, on $1.1M
- The 2026-2027 to 2028-2029 trajectory was rebuilt: the previous version multiplied by 1.4516 every year with no justification by product or by channel
- The retail channel was rebuilt city by city on the consignment reports and online sales by city. It rested on three hand-entered numbers, and 2025-2026 showed zero retail sales when there were **$13,801**
- Variable costs were reconnected to volume, and the cost structure calibrated on the last three completed years rather than on targets
- A single 48-month cash chain replaces the parallel statements that were diverging. **The balance sheet control line is at zero across all 48 months**
- The sales-tax calendar was set as it is actually filed: **QST monthly, GST annually with a balance due 30 November**. The rates come from the 2025-2026 actuals and account for the drop in input tax credits once sewing leaves Quebec. The 30 November remittance goes from **$13,910 in 2026 to $48,510 in 2028**
- July 2026 moved from forecast to actual: **-$48,225** against -$39,272 in the forecast, and the credit line drawn at **$143,026 at 31 July** where the model projected $27,825
- The first forecast month opened on anchor balances rather than on July's actuals — the schedule said $202,609 of Shopify borrowing, QuickBooks shows $186,437 — and the model read the difference as a cash receipt: **$124,000 of cash that nobody advanced**
- SR&ED has been put back on the year's expenditure schedule. The model carried $73,865, i.e. 55% of two people's salary; the actual eligible base is **$246,193** across three projects, and the central case retained is **$140,000**. The reconciliation holds to the dollar: schedule and model give the same R&D salary balance in the general ledger, $109,014. The credit is received in two transfers — **35% in April, 65% in June**, nothing before March — and no longer as a single payment
- The account mapping carried five defects, including $54,266 of BDC loan that landed nowhere
- No cell in the active sheets is in error and no reference is circular. The archive sheets, kept as they were, still carry some

Items still being validated

- Loss carryforwards ($85,547 at 31 August 2026) start from an opening balance of $29,036 that remains an accountant's estimate
- The SR&ED claim is not closed: August 2026 is not yet booked (+$5,000 to $8,000), four supporting documents remain to be obtained (−$1,550) and the $12,564 JCC block is the most fragile (−$3,518 if refused). Range: $130,000 to $155,000
- An equipment sale is still in the QuickBooks "For review" queue, and the contract for the $90,000 advance of 15 August 2026 remains to be signed
- The public support carried in the result — SR&ED, Visa Design credits, La Ruche ($50,000, Nov. 2026) and Ville de Québec ($35,000) — needs its award letters on file; SR&ED already has them, through the expenditure schedule and the collection history of account 1250. It carries $196,814 of the 2026-2027 result, which is negative without it
- The actual balances of the Accord D, private and BDC 11K loans at 31 August 2026 are to be confirmed with the lenders
- The "Cash budget" sheet carries a direct view which picks up neither inventory nor supplier timing. It is the income statement's cash chain that governs; row 36 measures the gap between the two methods

Sources

Compiled financial statements 2022-2023 to 2024-2025 (compilation, without audit or review) · QuickBooks Online for 2025-2026 actuals · SR&ED expenditure schedule 2026 (v2026-08-08) and account 1250 · Shopify for sales, orders, customers, sessions and billing cities · consignment reports from Les Défricheuses, Sept. 2025 to June 2026 · Statistics Canada, 2021 census · Groupe CTT · Université de Sherbrooke · WWF-México and the Government of Canada species at risk registry.

18 Summary

Lasclay has cleared the hardest steps of a pioneering company: learning a material nobody had mastered, building demand from 39,566 customers, taking gross margin from 44% to 73%, and reaching profitability in 2024-2025. What is blocking is not the market.

It is four technical constraints, and they fall together. The cost of the fibre comes down when purchase volume triples. The insulation becomes an industrial product in roll form: **$4,500 of labour to cover a full year, against $91,336**. The founder's energy returns to markets, products and the farming network. And the fixed structure frees $123,868 from 2026-2027, not counting the $52,129 of digital infrastructure that is not even in the projections.

The risk that this shift would drive customers away was tested at full scale in May 2026: three days after a forty-minute transparency video, the pre-sale did $82,692 with 85.2% existing customers and an order value 58% above average. The community judged, and it bought.

The trajectory does not rest on a single bet. E-commerce, which carried the first six years alone, brings 41% of the progression in the conservative reading, growing at 21.1% a year, half the pace sustained since 2021-2022. The retail channel brings the rest. A slower-than-planned store rollout slows the trajectory without cancelling it.

$460,000	$143,026	$298,156	2027-2028
TERM LOAN REQUESTED	SEASONAL LINE	NET NEW MONEY	PROFITABLE EXCLUDING AID
of which $304,871 is refinancing	autumn trough	the rest replaces existing debt	and coverage above 1.25

The financing serves to get through **2026-2027**, the only year where coverage stays below the bank threshold. From 2027-2028, operations carry their own debt service, equity turns positive, and the company stops depending on public funding to show a positive result.

> *What changes is the way we produce. What does not change is why we exist: to make milkweed useful and desirable so that growing it becomes viable again, and in doing so give the monarch its habitat back.*

Memo prepared for information purposes for the financial partners of Les Produits Lasclay inc. Historical data comes from compiled financial statements (compilation engagement, without audit or review) and from QuickBooks Online. Sales, order and customer data comes from Shopify. The 2026 to 2029 projections rest on internal assumptions documented in the financial model and are not a guarantee of future results. The fibre performance benchmarks describe the material in laboratory conditions and not a finished product.